**No. 18-0918**

IN THE

**SUPREME COURT OF THE UNITED STATES**

OCTOBER TERM, 2019

**BACKSTREETS PLOWING, INC.,**
*DEBTOR*

**STEVEN VIN SANT, CHAPTER 7 TRUSTEE,**
*PETITIONER*
**V.**

**MILTON WEINBERG,**
*RESPONDENT*

*On Writ of Certiorari*
*to the United States Court of Appeals*
*for the Thirteenth Circuit*

# Brief for Respondent

**Counsel for Respondent**
**Team R24**

## QUESTIONS PRESENTED

I. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date.

II. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under Chapter 7 of the Bankruptcy Code.

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## OPINIONS BELOW

The United States Bankruptcy Court of Moot for the District of Moot and the Bankruptcy Appellate Panel for the Thirteenth Circuit ruled in favor of Weinberg on both issues. R. at 3. The United States Court of Appeals for the Thirteenth Circuit agreed with the prior courts. R. at 3. The courts concluded that (1) Weinberg did not violate § 362(a)(3) by retaining possession of the snow plow trucks prior to the bankruptcy filing, as collateral for the loan; and (2) Weinberg was entitled to substantial contribution administrative expense under §503(b), not withstanding §503(b)(3)(D). R. at 3.

## STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

## STATUTORY PROVISIONS INVOLVED

The relevant statutory provisions involved in this case in this case are: 11 U.S.C. § 102, 11 U.S.C. § 362, 11 U.S.C. § 503, 11 U.S.C. § 542, and 11 U.S.C. § 543.

## STATEMENT OF THE FACTS

Christopher Clemons ("Clemons") is the owner and sole shareholder of Backstreet Plowing, Inc. (the "Debtor"). R. at 3. The Debtor owns a snow plow business and needed new snow plow trucks to effectively and efficiently fulfill the Debtor's contract with the City of Badlands (the "City"). R. at 3-4. This was a yearly contract that had an option for the City to renew each year. R. at 4.

The Debtor borrowed $450,000 from Milton Weinberg ("Weinberg") to purchase new snow plow trucks. R. at 4. Weinberg and the Debtor entered into a loan agreement. Shortly thereafter, the Debtor bought new snow plow trucks in August 2015. R. at 4. Weinberg retained a security interest in the new snow plow trucks and Clemons signed a personal guarantee pursuant to the loan agreement. R. at 4. In accordance with the agreement, the Debtor was required to begin monthly payments to Weinberg in December of 2015, which was after the start of the winter season. R. at 4.

Shortly after the loan, Clemons and Weinberg had a "heated debate" over a college football rivalry. R. at 5. After the argument, Weinberg and Clemons did not speak to each other for an extended period of time. R. at 5.

Subsequently, the Debtor won the bid for the City contract, beating Tenth Avenue Freezing ("Tenth Avenue") and Stone Pony Plowing ("Stone Pony"). The Debtor's bid was so low, that several members of the city council inquired into the Debtors ability to remain profitable. R. at 4. Regardless, the council accepted the Debtor's bid. The Debtor was profitable during the 2015-2016 winter season, due to mild weather conditions. As part of the City contract, the City paid the Debtor regardless of the work performed. R. at 4.

The Debtor was contractually obligated to start making monthly payments to Weinberg in December 2015, but he did not perform. R. at 5. After two months, Weinberg attempted to call the Debtor multiple times, with no avail. R. at 5. Weinberg went to the Debtor's facility to ask for the payments. R. at 5. Clemons demanded that Weinberg leave and Clemons ordered his workers to "forcibly remove" Weinberg from the premises. R. at 5.

Subsequently, Weinberg filed suit against the Debtor in April of 2016. R. at 5. In October of 2016, Weinberg received a default judgment against the Debtor and Clemons for an aggregate amount of $450,000 plus interest and fees. R. at 5.

Consequently, the winter of 2016-2017 was substantially worse than the prior year. R. at 6. The Debtor incurred a considerable loss on profits and could not pay for his business expenses, such as: truck maintenances, staff, and fuel cost. R. at 6. In January 2017, Weinberg began efforts to collect on the judgment from October 2016. R. at 6. Weinberg hired E Street Auto Company and they successfully repossessed the Debtor's snow plow trucks. R. at 6. Without trucks, the Debtor had no ability to generate income.

On February 4, 2017, the Debtor filed a Chapter 11 petition with the bankruptcy court. R. at 6. The Debtor's attorney asked Weinberg to return the trucks, but Weinberg refused because the Debtor had the burden to bring a turnover action; thus, giving Weinberg the ability to demand adequate protection of his interest in the trucks. R. at 6.

The Debtor filed a motion with bankruptcy court to determine whether Weinberg's retention of the trucks constituted as a violation of the automatic stay under section 362(a)(3). The court ruled that it was a "close call," but it believed that Weinberg did not violate the automatic stay, because mere retention of a lawful repossession is not "an act . . . to exercise control over property of the estate." R. at 6, quoting section 362(a)(2).

The Debtor appealed the bankruptcy court's ruling. Due to foreseeable consequences, the Debtor had to voluntarily convert from a Chapter 11 case to a Chapter 7 case. R. at 6-7. On April 11, 2017 the Bankruptcy Trustee appointed an administrator to liquidate the Debtor's assets. R. at 7. After the conversion, the court issued a stay on the pending appeal to give the Trustee time to substitute in for the Debtor. R. at 7.

Weinberg began to seek collection on the personal guarantee against Clemons. R. at 7. In May 2017, Weinberg hired an attorney to examine Clemons's credit history. R. at 7. The exam revealed that Clemons transferred $100,000 in cash to his daughter, Patti, in May 2016 – right after Weinberg filed the lawsuit against the Debtor. R. at 7. Weinberg reported the fraudulent transfers to the Trustee. R. at 7. Consequently, the Trustee filed a complaint against Patti Clemons under sections 548 and 550. R. at 7. Patti agreed to pay $75,000 to the Trustee. R. at 7.

From the investigation, Weinberg incurred $25,000 in administrative expenses. R. at 7. Weinberg filed a motion with the bankruptcy court for substantial contribution under section 503(b). R. at 7. The Trustee contested the motion because the Trustee believes substantial contribution is limited to Chapter 9 and 11 cases. R. at 8. The bankruptcy court held for Weinberg. R. at 8. Therefore, the Trustee appealed. R. at 8.

In September 2017, Tenth Avenue made an offer to the Trustee to buy the Debtor's assets, including the snow plow trucks. R. at 8. The Trustee reached out to Weinberg to negotiate a transfer of the trucks to the Trustee, but Weinberg was unwilling to return the trucks that he rightfully repossessed. R. at 8. Therefore, the Trustee tried to pressure Weinberg to concede by continuing the appeal against Weinberg for willful violation of the automatic stay. R. at 8. Subsequently, Tenth Avenue withdrew their offer. R. at 8.

In January 2018, Stone Pony made an offer for the Debtor's assets, excluding the snow plow trucks. R. at 8. This offer was $100,000 less than the previous offer. R. at 8. The bankruptcy court approved this offer in February 2018. R. at 9.

Unhappy with this deal, the Trustee continued the appeal against Weinberg. R. at 9. The Trustee hoped to recover the difference between the first offer and the approved offer for the alleged violation of the automatic stay. R. at 9. The Trustee also continued with the substantial contribution appeal. R. at 9. The parties agreed to consolidate the two appeals and the bankruptcy appellate panel affirmed both issues. R. at 9. The Trustee appealed both issues to the Thirteenth Circuit Court of Appeals. R. at 9. The Thirteenth Circuit affirmed both issues. R. at 21.

## SUMMARY OF THE ARGUMENTS

This case presents two issues to the Court. The first question is whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date. The second question is whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under Chapter 7 of the Bankruptcy Code.

This Court should affirm the Thirteenth Circuit Court of Appeals and hold that Section 362(a)(3) does not prohibit a secured creditor from passively retaining estate property that was lawfully repossessed prepetition. First, the plain language of Section 362(a)(3) explicitly permits passive retention of property lawfully repossessed prepetition. The statutory language of 362(a)(3) presupposes that an affirmative "an act" take place before the statute's automatic stay is violated. Further, the *majority view* of Section 362(a)(3) finds no explicit support in recent legislative modifications.

The *majority view* of Section 362(a)(3) is premised on the erroneous conclusions that Section 542(a) is linked to Section 362(a)(3), as well as that Section 542(a) is self-executing. This is evidenced by the fact that an analysis of Section 542(a) and Section 362(a) reveal no textual link between the two statutes. However, even if there is a link between Section 542(a) and Section 362(a)(3), an analysis of Section 542(a) reveals that the statute is not self-executing, and amendments to Section 362(a) do not alter that. Finally, the *minority view* of Section 362(a)(3) provides protection for both debtors and creditors. For these reasons, this Court should affirm the judgment of the Thirteenth Circuit and hold that a creditor is not prohibited from passively retaining estate property that was lawfully repossessed prepetition under Section 362(a)(3).

Secondly, the Trustee has also appealed the Thirteenth Circuit's grant of an administrative expense to Weinberg for the substantial contribution he made to the estate by notifying the Trustee of and helping to secure $75,000 in fraudulent funds from the debtor's daughter. Administrative expenses are allowed for creditors who provide certain "substantial contributions" to an estate under 11 U.S.C. 503(b). It is undisputed that Weinberg provided an administrative expense to the estate. While a number of courts have rejected claims for administrative expenses in Chapter 7 cases, the Thirteenth Circuit applied a new trend of case law that looks to the underlying Congressional intent of the statute when the plain language application contradicts the statute's overarching purpose. Further, this method of application upholds the fundamental reasoning behind the Bankruptcy Act the equitable considerations it protects. Therefore, this Court should adopt this approach. For the reasons contained herein, Weinberg respectfully asks this Court to affirm the Thirteenth Circuit.

## ARGUMENTS

### I. THE 13TH CIRCUIT CORRECTLY HELD THAT SECTION 362(A)(3) DOES NOT PROHIBIT A SECURED CREDITOR FROM PASSIVELY RETAINING ESTATE PROPERTY THAT WAS LAWFULLY PREPOSSESSED PREPETITION.

The principles promoted by Section 362(a)(3) of the Bankruptcy Code are vital to the ultimate goals of the Bankruptcy Code. It provides a framework for parties to engage in an organized, efficient, and fair bankruptcy process by providing a warranted relief to the debtor party. Specifically, Section 362 prevents creditors from taking further action against a debtor except through a bankruptcy court. One of the ways that the Section 362(a) enforces this result is through an automatic stay of "any act to obtain possession of property of the estate . . . or to exercise control over property of the estate." 11 U.S.C. Section 362(a)(3). As straightforward as this sounds, the scope and nature of this code section, specifically the definitions of "act" and "exercise control" have caused massive discrepancies amongst the circuits.

Several circuits, comprising the *majority view*, have held that a party passively retaining estate property constitutes a prohibited "act" or "exercise of control" under Section 362(a)(30. *Weber v. SEFCU (In re Weber),* 719 F.3d 72 (2d Cir. 2013); *Thompson v. Gen. Motors Acceptance Corp., LLC,* 566 F.3d 699 (7th Cir. 2009); and *Knaus v. Concordia Lumber Co., Inc. (In re Knaus),* 889 F.2d 773 (8th Cir. 1989). These circuits look past the plain language of the statute, and rely on an erroneous interpretation of the turnover provision of Section 542(a) to justify their position. See *Weber,* 719 F.3d at 79.

Conversely, other circuits, comprising the *minority view*, have found "that Congress' use of the word "act" in section 362(a)(3) evidences that some affirmative, post-petition conduct is required in order for a stay violation to be found." R. at 10, citing *Davis v. Tyson Prepared Foods, Inc. (In re Garcia)*, 740 Fed. Appx. 163, 164 (10th Cir. 2018); *WD Equip., LLC v. Cowen*

*(In re Cowen)*, 849 F.3d 943, 948 (10th Cir. 2017); *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991). In this instance, the *minority view* is more convincing because it faithfully adheres to the plain language of the statute, and this Court should rule accordingly.

Applying a de novo standard of review, the Thirteenth Circuit correctly affirmed the findings of the Bankruptcy Appellant Panel for the Thirteenth Circuit and Bankruptcy Court that Milton Weinberg's ("Weinberg") passive retention of estate property lawfully repossessed prepetition did not violate Section 362(a)(3).

The Tenth Circuit, the D.C. Circuit, the Thirteenth Circuit, and numerous district and bankruptcy courts have held that the plain language of 362(a)(3) clearly allows for the passive retention of property that was lawfully repossessed prepetition. R. at 10.; *Cowen*, 849 F.3d at 948; *Inslaw*, 932 F.2d at 1474; *In re Hall*, 502 B.R. 650 (Bankr. D.D.C. 2014); *In re Bernstein*, 252 B.R. 846 (Bankr. D.D.C. 2000). These courts have noted that the terms "act" and "exercise control" within the statute contemplate an affirmative act that must take place before a violation can happen. *See Cowen*, 849 F.3d at 949.

While the majority view argues that passively retaining estate property constitutes a violation of Section 362(a)(3), this is an incorrect interpretation of the statute because such a reading is premised on the erroneous conclusion that Section 542(a) and Section 362(a)(3) should be read together, as well as that Section 542(a) is self-executing. *In re Hall*, 502 B.R. at 654.

Lastly, from a policy perspective, the *minority view* that Section 362(a)(3) does not prohibit passively retaining estate property lawfully repossessed prepetition provides protection for both debtors and creditors.

**A. The plain language of Section 362(a)(3) explicitly permits passive retention of property lawfully repossessed prepetition.**

As discussed above, the plain language of 362(a)(3) clearly contemplates that passively retaining property lawfully repossessed prepetition does not violate the automatic stay imposed by the statute. The Tenth Circuit and the D.C. Circuit, and now the Thirteenth Circuit have all held similarly. R. at 10.; *Cowen*, 849 F.3d at 948; and *Inslaw*, 932 F.2d at 1474. These courts, and others, consistently make two claims in support of this position. First, they argue that the statutory language of 362(a)(3) presuppose that an affirmative "act" take place before a violation can occur. See *Cowen*, 849 F.3d at 949; and R. at 10. Secondly, they argue that the majority view, that passively retaining property lawfully repossessed prepetition violates the stay, finds no explicit support in recent legislative modifications. See *Cowen*, 849 F.3d at 949-50. Hence, these arguments demonstrate the necessity that this Court find that the passive retention of property lawfully repossessed prepetition does not violate the automatic stay imposed by Section 365(a)(3).

*1. The statutory language of 362(a)(3) presupposes that "an act" take place before the statute's automatic stay is violated.*

First, the plain language of Section 362(a)(3) presumes that an affirmative act take place before the stay is violated. This Court has long held that in cases requiring statutory interpretation, courts must begin with the statutory language. See *United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 240-41 (1989). Additionally, this Court has repeated held that statutes are to be read as having their ordinary meanings. *See Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995). "When the meaning of a term that is neither considered a term of art nor expressly defined by statute is in question, courts should consult the ordinary meanings contained in general and legal dictionaries." *Id.* It is also the custom of courts where the statute's

language is plain, that "the sole function of the courts is to enforce it according to its terms." *Frieouf v. United States*, 938 F.2d 1099, 1102–03 (10th Cir. 1991).

The relevant part Section 362(a)(3) states that a bankruptcy petition "operates as a stay . . . of . . . any *act* to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. Section 362(a)(3). "Breaking down the sentence, 'any act' is the prepositive modifier of both infinitive phrases." See *Cowen*, 849 F.3d at 949. As such, Section 362(a)(3) stipulates that the automatic stay requires an "act" in two different situations. First, an "act" to obtain possession of property of the estate, and second, an "act" to exercise control over property of the estate. See *Cowen*, 849 F.3d at 949; and *See* 11 U.S.C. Section 362(a)(3). Stated plainly, the statute could read that Section 362(a)(3) prohibits "any act to obtain possession of property" or "any act to exercise control over property." 11 U.S.C. Section 362(a)(3). In Black's Law Dictionary, the term "act" is defined as "the process of doing something or performing." BLACK'S LAW DICTIONARY 27 (9th ed. 2009).

What follows then, is that Section 362(a)(3) "stays entities from *doing* something to obtain possession of or to exercise control over the estate's property." See *Cowen*, 849 F.3d at 949. It does "not cover 'the act of passively holding onto an asset.'" *Id. citing Thompson*, 566 F.3d at 703. Nor does it "impose an affirmative obligation to turnover property to the estate." See *Cowen*, 849 F.3d at 949. The automatic stay in Section 362(a)(3), "as its name suggests, serves as a restraint only on acts to gain possession or control over property of the estate." *Inslaw*, 932 F.2d at 1474. Therefore, in the absence of some post-petition, affirmative "act" by the non-debtor party, as is the case with Weinberg, there exists no automatic stay violation of Section 362(a)(3). See *Cowen*, 849 F.3d at 949. After all, the "statutory language makes clear that the stay applies only to acts taken after the petition is filed." *Inslaw*, 932 F.2d at 1474; See 11 U.S.C. § 362(a); *In*

*re Stucka*, 77 B.R. 777, 782 (Bankr. C.D. Cal. 1987) ("The automatic stay is effective as of the moment of filing of the bankruptcy petition."); and *In re Mewes*, 58 B.R. 124, 127 (Bankr. D.S.D. 1986).

*2. The majority view of Section 362(a)(3) finds no explicit support in recent legislative modifications.*

The Second argument that *minority view* courts consistently offer is that the *majority view* finds no explicit support in recent legislative modifications, despite those courts purporting otherwise. See *Cowen*, 849 F.3d at 949-50. This Court has held that a court should "not read the Bankruptcy Code to erode past bankruptcy practice absent a clear indication that Congress intended such a departure." *Pa. Dep't of Pub. Welfare v. Davenport*, 495 U.S. 552, 563 (1990). However, the *majority view* does not follow this directive.

Prior to the "Bankruptcy Amendments and Federal Judgeship Act of 1984, 'the Code's stay provision only prohibited any act to obtain possession of property belonging to a bankruptcy estate.'" *Cowen*, 849 F.3d at 949 (citing *Thompson*, 566 F.3d at 702). Within these amendments, Congress broadened the provisions to prohibit "not only 'acts to obtain possession' of property of the estate, but also 'any act . . . to exercise control over the property of the estate.'" *Weber*, 719 F.3d at 80 (quoting Pub. L. No. 98–353, 98 Stat. 333, 371). Despite no Congressional explanation of the amendment, the *majority view* reads from "the mere fact that Congress expanded the provision to prohibit conduct above and beyond obtaining possession," that Congress "intended to prevent creditors from retaining property of the debtor." *See Cowen*, 849 F.3d at 949 (*citing Weber*, 719 F.3d at 80).

The 1984 amendments are more compatible with another conclusion. Namely, "[s]ince an act designed to change control of property could be tantamount to obtaining possession and have the same effect, it appears that § 362(a)(3) was merely tightened to obtain full protection." *In re*

*Bernstein*, 252 B.R. 846, 848 (Bankr. D.D.C. 2000). For example, the use of the word "control" in the 1984 amendment to 362(a)(3) suggests that the drafters meant to distinguish the newly prohibited "control" from the already-prohibited acts to obtain "possession," in order to reach nonpossessory conduct that would nonetheless interfere with the estate's authority over a particular property interest." Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?*, 33 No. 9 Bankruptcy Law Letter NL 1 (September 2013). After all, it is not difficult to come up with examples of such 'acts' that 'exercise control' over, but do not 'obtain possession of,' the estate's property. *Cowen*, 849 F.3d at 950. For example, "a creditor in possession who improperly sells property belonging to the estate." *Id.* Another common example could be:

> [E]xercising control of intangible property rights that belong to the estate, such as contract rights or causes of action. These rights are incapable of real possession unless they are reified. Yet, (a)(3) preserves and guards against interference with them by staying any act to exercise control over estate property.

*See* Brubaker, *Part II* at 3–4 & 10 nn.15–16. *See also* 1 David G. Epstein, *et al., Bankruptcy* § 3–14, at 163 (1992):

In summation, Congress does not "hide elephants in mouseholes." *Whitman v. American Trucking Ass'ns*, 531 U.S. 457, 468 (2001). If Congress had meant to "add an affirmative obligation—to the automatic *stay* provision no less—as opposed to the *turnover* provision [in Section 542] . . . to turn over property belonging to the estate, it would have done so explicitly." *In re Cowen*, 849 F.3d at 950. Instead, it added language to broaden prohibitions on actions taken post-petition that do not reach the level of possession but still amount to an exercise of control. *See Denby-Peterson v. Nu2u Auto World*, 2018 WL 5729907, at *12 (D.N.J. Nov. 1, 2018). The majority view rejects this, and instead clings to an illogical and erroneous interpretation.

**B. The majority view of Section 362(a)(3) is premised on the erroneous conclusions that Section 542(a) is linked to Section 362(a)(3), as well as that Section 542(a) is self-executing.**

Section 542(a) provides that "an entity . . . in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease" shall deliver such property to the trustee "unless such property is of inconsequential value or benefit to the estate." 11 U.S.C. Section 542. This code section, "colloquially referred to as the *turnover power*, allows the trustee in bankruptcy to recover property that was 'out of the possession of the debtor, yet remained 'property of the debtor' on the petition date." R. at 12. (*citing Inslaw*, 932 F.3d at 1471).

*1. An analysis of Section 542(a) and Section 362(a) reveal no textual link between the two statutes.*

According to the *majority view*, to completely understand the issue before this Court today, one must understand the relationship between Section 362(a)(3) and Section 542(a) of the Bankruptcy Code. *Majority view* courts allege that "Section 542 requires that any entity in possession of property of the estate deliver it to the trustees, without condition or any further action: the provision is self-executing." *Weber*, 719 F.3d at 79. Reading these "two sections together ostensibly furthers '[t]he primary goal of ... bankruptcy.'" *In re Cowen*, 849 F.3d at 950 *citing Thompson*, 566 F.3d at 702. That is, "to group all of the debtor's property together." *Thompson*, 566 F.3d at 702. This is because "[a]s a practical matter, there is little difference between a creditor who obtains property of the estate before bankruptcy is filed, or after bankruptcy is filed," *Unified People's Fed. Credit Union v. Yates (In re Yates)*, 332 B.R. 1, 5 (10th Cir. BAP 2005). "The ultimate result is the same—the estate will be deprived of possession of that property," which is "precisely the result § 362 seeks to avoid." *Id.* And so, in light of this, the *majority view* contends that, Section 542 "provides the right to the return of estate property,

while [Section 362(a)(3)] provides the remedy for the failure to do so." *Abrams v. Sw. Leasing & Rental, Inc. (In re Abrams)*, 127 B.R. 239, 242–43 (9th Cir. BAP 1991).

However, this contention is not anywhere supported by the text of Section 362 or Section 542, nor is it supported by the legislative history. There simply is no "textual link between Section 542 and Section 362." *In re Cowen*, 849 F.3d at 950. Subsequently, this Court should refuse to "read the statute more broadly than its plain language permits." *See Denby-Peterson*, 2018 WL 5729907, at *13. And so, adhering to the text of the statute, this Court should adopt the *minority view* that only affirmative acts to gain possession of, or to exercise control over, property of the estate violate Section 362(a)(3).

2. *Even if there is a link between Section 542(a) and Section 362(a)(3), an analysis of Section 542(a) reveals that the statute is not self-executing, and amendments to Section 362(a) do not alter that.*

Alternatively, even if Section 542(a) and Section 362(a)(3) are designed to be read together, Section 542(a) is still not self-executing. Courts that follow the *majority view* of Section 362(a)(3) "contend that . . . [Section] 542(a) is 'self-executing' and 'requires that any entity in possession of property of the estate deliver it to the trustees, without condition or any further action[.]'" *In re Hall*, 502 B.R. at 654; citing *Weber,* 719 F.3d at 79. The *Weber* court reasoned that, in spite of the "fact that the debtor is not actually in possession of the property on the petition date, the self-executing nature of Section 542(a) operates to vest the debtor with a possessory interest in the property such that a creditor's continued retention of possession constitutes an act to 'exercise control' over property of the estate." *In Re Hall*, 502 B.R. at 654 (citing *Weber,* 719 F.3d at 79). To the contrary, the statute "clearly contemplates that the turnover power is not self-effectuating" and nothing in the legislative history indicates Congress intended any change in that. R. at 12.

In *Whiting Pools*, a case that the *majority view* relies heavily upon, this Court explored the effect of Section 542(a) and whether a court could subject the IRS to a turnover order for property that had been seized prepetition, but not yet sold at a tax auction. *See United States v. Whiting Pools, Inc.,* 462 U.S. 198 (1983). It was not until the following year, 1984, that Congress amended Section 362(a)(3) to extend the stay to "any act . . . to exercise control over property of the estate." *See In re Hall*, 502 B.R. at 655. Thus, to understand why *Whiting Pools* cannot be read to support the view that creditors violate the automatic stay under Section 362(a)(3) if they fail to immediately return property that was seized from the debtor prepetition, it is relevant to explore whether Section 542(a) was viewed as self-executing prior to the 1984 amendment of Section 362(a)(3). *Id.* It was not, and a close analysis shows that the 1984 amendment did not change that. *Id.*

a. Prior to the 1984 Amendment of Section 362(a), Section 542(a) was viewed as not self-executing.

After the enactment of Section 542(a) in 1978, and before the Section 362(a)(3) amendment in 1984, no court viewed Section 542(a) as a mandatory injunction. *In re Hall*, 502 B.R. at 657. Instead, courts "uniformly viewed Section 542(a) as providing bankruptcy courts with the authority to order the turnover of collateral or other property of the estate, but with the courts authorized to require adequate protection of a secured creditor's interest before directing turnover." *See In re Riding,* 44 B.R. 846, 848–49 (Bankr. D. Utah 1984); and *Sunrise Equip. & Dev. Corp. v. Pac. Am. Leasing Corp.,* 24 B.R. 26, 27–28 (Bankr. D. Ariz. 1982).

Explicitly, the "Code's 'turnover' provisions [including Section 542(a)] . . . allow the trustee to recover property that 'was merely out of the possession of the debtor, yet remained 'property of the debtor.'"" House Report at 367; Senate Report at 82, U.S. Code Cong. & Admin. News 1978, pp. 5868, 6323; see 11 U.S.C. §§ 542, 543; and *Whiting Pools,* 462 U.S. at 204–09.

Thus, Section 542(a) "permits an entity in possession of estate property voluntarily to relinquish possession of such property to the trustee in lieu of turning over the property to a debtor who lacks the rights of a trustee." *In re Hall*, 502 B.R. at 656. When possession is not relinquished voluntarily, Section 542(a) empowers the trustee to obtain an order directing turnover unless one of the defenses to entry of a turnover order applies.

After tracing that pre-1984 amendment practice, Scholar Ralph Brubaker convincingly concludes that Section 542(a) is not self-executing:

> The legislative history of the Code § 542(a) turnover provision has been the subject of careful scholarly study, including by Judge Friendly in his Second Circuit opinion in *Whiting Pools*. Indeed, the Supreme Court commented that "we find Judge Friendly's careful analysis of this history for the Court of Appeals to be unassailable," and Judge Friendly's analysis ultimately concluded that the most "natural reading of § 542 is that it was intended to codify *RFC v. Kaplan*," which was representative of the pre-Code practice pursuant to which "the bankruptcy court could order the turnover of collateral in the hands of a secured creditor."

*See* Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part I): Who is "Exercising Control" Over What?*, 33 No. 9 Bankruptcy Law Letter NL 1, 4-5 (September 2013).

In other words, Section 542(a) "simply provides an express statutory basis for a bankruptcy court to enter an injunctive order compelling turnover of identified property in the possession of a third party." *In re Hall*, 502 B.R. at 657. Consistent with the pre-1984 amendment turnover practice, "a third party's mere possession of . . . property, in and of itself (before entry of any turnover order), does not contravene any injunctive orders of the court; only a knowing violation of a duly entered turnover order is contemptuous conduct. *Id.*

b. The post 1984 Amendment language of Section 362(a)(3) does not alter the non-self-executing nature of Section 542(a).

Prior to the "exercise control" language being added to Section 362(a)(3) in 1984, Section 542(a) was plainly not self-executing, and "the well-established practice was that turnover could be refused and the creditor could raise defenses to turnover before being required

to relinquish possession." *In re Hall*, 502 B.R. at 664. Nothing in Section 362(a)(3) purports to amend Section 542(a). *Id.* Consequently, this Court should hold as it has in the past—that it will not "read the Bankruptcy Code to erode past bankruptcy practice absent a clear indication that Congress intended such a departure." *Cohen v. de la Cruz,* 523 U.S. 213, 221 (1998).

In summation, the *majority view* of "treating mere retention of possession as being prohibited, runs counter to the presumption against such a major departure from established practice." *In re Hall*, 502 B.R. at 664; *See also Dewsnup v. Timm,* 502 U.S. 410, 419 (1992); and Brubaker, *Part II* at 2-3.

**C. The minority view of Section 362(a)(3) provides protection for both debtors and creditors.**

The *minority view* more than adequately provides security for all parties involved. For instance, this view prohibits creditors from taking post-petition action that would give them possession or control over qualifying property. *See Denby-Peterson*, 2018 WL 5729907, at *14. This, in the end, ensures that the property will remain a part of the estate and allows for a bankruptcy court to distribute those assets to all claimants in an orderly and just manner. *Id.* The minority view also allows damages for wrongful post-petition conduct. Debtor's may still request a creditor to return property repossessed pre-petition and may still move for a turnover of the property before a bankruptcy court. *See Denby-Peterson*, 2018 WL 5729907, at *14. This allows a bankruptcy court to fully consider a creditor's defenses to turnover before a creditor has to turnover property to the estate. *Id*. Here, it is also important to note that if a creditor engages in abusive litigation behavior to evade turnover, then a bankruptcy court still has inherent power to hold the creditor in contempt or impose sanctions. *See Denby-Peterson*, 2018 WL 5729907, at *14 (citing *Theokary v. Shay*, 592 F. App'x 102, 106 (3d Cir. 2015)), (stating it has long been held that a court has "the ability to do whatever is reasonably necessary to deter abuse of the

judicial process." (quoting *Eash v. Riggins Trucking Inc.*, 757 F.2d 557, 567 (3d Cir. 1985) (en banc))).

Finally, the *minority view* maintains that an affirmative duty still exists in circumstances. If the creditor demands proof of insurance for a vehicle, naming it as loss payee, and the debtor complies, the creditor will be in violation of the automatic stay unless the vehicle is returned to the debtor. *See Denby-Peterson*, 2018 WL 5729907, at *14. This protects both the interest of the debtor and creditor, as it assures both that in case of accident, insurance will cover the loss. *Id.*

In conclusion, the *majority view* simply falls short and cannot be correctly applied. The majority rule seems driven more by "practical considerations" and "policy considerations" than a faithful adherence to the text. *See Weber*, 719 F.3d at 80; and *Thompson*, 566 F.3d at 703. The plain language of Section 362(a)(3) explicitly requires an affirmative "act" post-petition to trigger a violation. Additionally, the *majority view's* attempt to use Section 542(a) to force a turnover of the property falls short after a detailed look at the legislative history of the statute. These facts are very telling and strongly support the minority view that the passive retention of estate property lawfully repossessed pre-petition does not trigger a violation under Section 362(a)(3). This Court should hold the same, and affirm the 13th Circuit Court of Appeals.

## II. THIS COURT SHOULD FIND THAT CLAIMS FOR SUBSTANTIAL CONTRIBUTION FOR ADMINISTRATIVE EXPENSES ARE PERMITTED IN CHAPTER 7 BANKRUPTICIES BECAUSE 11 U.S.C. 503(B), WHEN READ IN ITS ENTIRETY ALLOWS SUCH CLAIMS, AND TO PROHIBIT THEM WOULD ULTIMATELY DISSUADE CREDITORS FROM PARTICIPATING IN THE BANKRUPTCY PROCESS.

The Bankruptcy Code exists to govern actions between debtors, creditors, and estates. While claims for substantial contributions for administrative expenses are scrutinized harshly because of their priority in the bankruptcy process, many courts have yet to recognize the validity of Chapter 7 creditors' claims for substantial contribution under § 503(b). 11 U.S.C. §

507(a)(2). However, unlike 11 U.S.C. § 362(a), the strict application of the plain language of § 503(b) does not directly align with Congressional intent. As such, this Court should look to the prefatory language of § 503(b), as well as the legislative history surrounding the statute to see that it is also applicable to substantial contributions in bankruptcies under Chapter 7 of the Bankruptcy Code. Further, by allowing Chapter 7 creditors such as Weinberg to bring warranted claims for substantial contribution under § 503(b), courts will incentivize continued participation in the bankruptcy process, thus upholding the fundamental ideals of the Bankruptcy Act.

**A. Congress did not limit 11 U.S.C. 503(b)(3)(D) to only include bankruptcy proceedings under Chapters 9 and 11 of the Bankruptcy Code.**

Weinberg has a viable claim for substantial contribution under 11 U.S.C. § 503(b)(3)(D) because his claim falls within the statute's overarching purpose even if no explicit language exists to validate it. Generally, when examining a statute, courts look to the plain meaning, or language of the statue. However, there are two exceptions to this general rule: "(1) when a literal application of the statute can be characterized as absurd, which is so gross as to shock general or moral common sense; and (2) when literal application of the statue produces an outcome that is demonstrably at odds with the intent of Congress." *In re Sunterra Corp.*, 361 F.3d 257, 257 (4th Cir. 2004). Specifically, in § 503(b), Congress detailed nine categories of expenses that are allowed as administrative expenses. 11 U.S.C. § 503(b). However, this enumerated list is non-exhaustive, as evidenced by Congress's intentional use of the term "including" in the statute's prefatory language. *Id.* In relevant part, the subsection at issue, § 503(b)(3)(D) provides: "After notice and a hearing, there shall be allowed, administrative expenses . . . *including* - . . . the actual, necessary expenses . . . incurred by . . . a creditor . . . in making a substantial contribution in a case under Chapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D).

Here, it is undisputed that Weinberg made a substantial contribution to the bankruptcy estate. R. at 17. But, a number of courts have disregarded the flexibility that § 503(b) offers, and have rejected creditors' claims for substantial contribution simply because the case in question was a Chapter 7, and not a Chapter 9 or 11 case. *See*, *e.g. Lebron v. Mechem Fin., Inc.*, 27 F.3d 937, 945 (3d Cir. 1994); *Mosier v. Kupetz (In re United Educ. & Software)*, 2005 WL 6960237, at *5 (B.A.P. 9th Cir. Oct. 7, 2005). However, the Bankruptcy Code's Rules of Construction show that the "including" term signals that § 503(b) is not limited only to the categories specifically listed in the statute. 11 U.S.C. § 102(3). And further, legislative history does not support the idea that that Chapter 7 bankruptcies are altogether explicitly excluded from the statute's coverage. With this knowledge, the Sixth Circuit Court of Appeals adopted a new approach and recognized that under special circumstances, creditors in Chapter 7 bankruptcies may have eligible claims for substantial contribution for administrative expenses, and the language of § 503(b) does not directly prohibit such claims. *In re Connolly North America, LLC,* 802 F.3d 810, 816 (6th Cir. 2015). Weinberg finds refuge in this rare category.

*1. The term "including" is not limiting.*

In its "Rules of Construction" section, the Bankruptcy Code notes that the terms "include" and "including" are not limiting. 11 U.S.C. 102(3).[1] The Thirteenth Circuit recognized the term's expansive nature, finding that its use within the text proves that the only way to interpret the statute is broadly, and to acknowledge that administrative expenses other than those expressly mentioned are also permissible under the Code. R. at 18.

[1] Section 102(5) of the Bankruptcy Code notes that the term "or" is not exclusive. Though research has not yet shown any jurisprudence which hinges upon this fact in a case for substantial contribution for an administrative expense under chapter 7, one could argue that § 503(b)(3)(D)'s phrasing ". . .in a case under 9 *or* 11" may further indicate the statute's flexibility in application and Congress' intent for a broad, rather than narrow application.

This application is consistent with other statutory interpretation principles. This very Court has pinpointed the importance of construing a statute properly within the context of its original intent. *Hibbs v. Winn*, 542 U.S. 88, 101 (2004) ("A statute should be construed so that effect is given to all its provisions, so that no part will be inoperative or superfluous, void or insignificant, . . ."); See also *TRW Inc. v. Andrews*, 534 U.S. 19, 31 (2001); *Coastal Federal Credit Union v. Hardiman*, 398 B.R. 161 (E.D.N.C. 2008). In essence, courts, when reading the plain meaning of a statute, must not construe each statutory phrase in isolation, but instead read the statute in its entirety. *Id.* However, many courts rely on the common canon *expressio unius et exclusion alterius* ("the expression of one thing excludes another") as a foundation to deny a Chapter 7 substantial contribution claim. *See RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639, 640 (2012) ("it is commonplace of statutory construction that the specific governs the general,"). Nonetheless, one can overcome this canon when portions of the text and Congressional intent point toward a different route of statutory interpretation. *Id.* And in fact, a host of bankruptcy courts have chosen this alternate route of statutory interpretation in extraordinary circumstances (including creditors in Chapter 7 bankruptcy cases) in order to award administrative expenses under § 503(b). *See In re Pappas*, 277 B.R. 171 (Bankr. E.D.N.Y. 2002); *In re Harvey*, 2006 WL 4481990 (Bankr. N.D. Md. Nov. 22, 2006); *In re Maqsoudi*, 566 B.R. 40 (Bankr. C.D. Cal. 2017); *In re Health Trio, Inc.*, 584 B.R. 342, 351-52, 355 (Bankr. D. Colo. 2018). Moreover, it is generally accepted that the term "including" and the list of eligible categories for administrative expenses are not exhaustive, leaving room for courts to make decisions in unique circumstances like that of Weinberg. *Connolly*, 802 F.3d at 816; *In re Al Copeland Enters.*, 991 F.2d 233, 239 (5th Cir.1993).

With its ruling, the Sixth Circuit in *In re Connolly* reminded courts of the autonomy that bankruptcy courts have in their application of § 503(b), even within the statute's seemingly rigid requirements. In *Connolly*, an unsecured creditor in a Chapter 7 bankruptcy action sought reimbursement under § 503(b)(3)(D) for the work its attorneys had done to substantially benefit the estate and all its unsecured creditors. *Connolly*, 802 F.3d. at 813. The U.S. Trustee opposed the creditor's application and the bankruptcy court denied it. *Id.* On appeal to the district court, it too found that § 503(b)(3)(D)'s exclusion of Chapter 7 in the text showed "a Congressional intent" to deny payments for administrative expenses to Chapter 7 creditors. *Id.* at 814. The creditor then appealed to the Sixth Circuit.

In its examination of the statute, the Sixth Circuit Court of Appeals first noted that the overarching principles of equity govern bankruptcy courts. *Id.* (quoting *Bank of Marin v. England*, 385 U.S. 99, 103 (1966)). Next, it looked at the lower courts' conclusions regarding the supposed preclusion of Chapter 7 creditors from receiving reimbursements under § 503(b)(3)(D), and found their reasonings to be flawed. In relevant part, the court states:

> "Nowhere does the Act say, "expenses incurred by a creditor in securing the removal of a Chapter 7 trustee are not allowable"; or, "expenses incurred in making a substantial contribution in a case under Chapters 9 or 11, but not Chapter 7, may be allowed"; or, "only the enumerated expenses shall be allowed."

*Id.* at 816. In a contrary stance, the Sixth Circuit Court of Appeals saw Congress's failure to specify Chapter 7 creditors as possible recipients of reimbursements under § 503(b)(3)(D) as unimportant. *Id.* For the court, Congress's deliberate decision to insert the "including" term into the statutory language indicated that Congress did not intend to create an exhaustive list of administrative expenses, but rather anticipated a host of circumstances that could potentially warrant payments for substantial contribution claims. *Id.* The Sixth Circuit Court of Appeals reasoned that Congress placed the "including" term into the statute as a tool to promote the

bankruptcy courts' autonomy, allowing them to evaluate these unique circumstances on a case-by-case basis. *Id.* In short, the court found that Chapters 9 and 11 were not named to the exclusion of claims under other areas of the Code, but merely as examples to provide a "contextual framework" for § 503(b). *Id.* at 817. With this all-encompassing holding, the Sixth Circuit Court of Appeals adopted a less restrictive standard, while upholding Congressional intent and plain language of the text.

2. *Legislative history gives no indication that Congress intended to restrict claims for substantial contribution in Chapter 7 bankruptcies under the Code.*

While the Chapter 7 bankruptcy is premised on the liquidation of an estate rather than reorganization like Chapters 9 and 11, legislative history offers no indication that Congress ever took measures to purposefully exclude Chapter 7 creditors from grants of substantial contribution awards. Specifically, in 1994 Congress amended § 503 by adding § 503(b)(3)(F), which authorized administrative expenses for official committee members of § 1102 committees (a committee of creditors holding unsecured claims by the court). *In re Maust Transport, Inc.*, 589 B.R. 887, 893 (Bankr. W.D. Wash. 2018). Congress created this subsection to address the "misguided construction of courts" which had previously used the omission of official committees in § 503(b)(3)(D) as a tool to exclude them from payments of administrative expenses. *Id.* at 893 (quoting *In re Mason's Nursing Ctr., Inc.*, 73 B.R. 360, 362-63 (Bankr. S.D. Fla. 1987) *See In re George Washington Co.*, 921 F.2d 626, 634 (6th Cir. 1990) ("Although we fail to find express authority for the reimbursement of an official committee's administrative expenses in the Code, we believe it is implied in the overall scheme for reorganization and in the legislative history of the Code and its amendments").

Now, just as official committee members were omitted, but not expressly excluded from collecting administrative expenses under § 503(b) until 1994, the same is true today for certain

creditors in Chapter 7 bankruptcies who make substantial contributions to the bankruptcy estate. Yet, many courts continue to deny this remedy by focusing solely on the words in the stature, while also ignoring the congressional intent behind the statute. This lapse in equitable relief sits opposite the Bankruptcy Act, and degrades the Act's fundamental purpose. As the Sixth Circuit Court of Appeals in *Connolly* noted, "Congress' failure to expressly designate a given expense as allowable under § 503(b) does not mean it is excluded." *Connolly*, 802 F.3d at 812 (quoting *In re Flo-Lizer*, *Inc.*, 916 F.2d 363, 365 (6th Cir. 1990); *In re George Worthington Co.*, 921 F.2d 626, 634 (6th Cir. 1990)).

Additionally, in 2005, Congress amended § 503 once more to narrow the discretion granted to bankruptcy courts under § 503(c)(1), because such discretion was improper for certain categories of administrative claims. 11 U.S.C. § 503(c)(1); *Maust Transport*, 589 B.R. at 893. However, Congress did not narrow this discretion for bankruptcy courts with regard to § 503(b), further evidencing its intent for court's to thoroughly examine each case and to rule freely, within the broad lines that Congress provided in the statute. In sum, the plain meaning of the text can only be understood by viewing the statute in its entirety rather than in isolation, and by reviewing Congress' legislative actions regarding the statute. When examining each of these, statutory interpretation suggests that the language and legislative history favor an inclusion, rather than preclusion of Chapter 7 creditors as candidates for reimbursements for substantial contributions to administrative expenses.

**B. Creditors in Chapter 7 bankruptcy cases should receive awards for substantial contribution to an administrative expense when the unique facts of the case demand such equitable relief that would be otherwise unreachable.**

When creditors like Weinberg are denied access to reimbursements for substantial

contributions to administrative expenses, courts defy the overall purpose of the Bankruptcy Act. Services that provide a "substantial contribution" to an estate for administrative expense purposes are those "that foster and enhance, rather than retard or interrupt, the process of reorganization." 11 U.S.C. 503(b)(3)(D); *In re R.L. Adkins Corp.*, 505 B.R. 770, 770 (Bankr. N.D. Tex. 2014). By interpreting the statute in its entirety with regard to Congressional intent as definitive evidence of the specific language used within the statute, the public policy implications of barring creditors with valid claims are easily seen, and further indicate the necessity for an open invitation to those creditors so they are not dissuaded from the bankruptcy process altogether.

During its analysis of § 503(b), the Sixth Circuit Court of Appeals in *Connolly* also examined the public policy effects of barring creditors whose substantial contribution claims did not fall squarely within the confines of the statute. First, it noted that the overall purpose of §503(b)(3)(D) is to encourage creditors in a bankruptcy filed under *any* chapter to "substantially contribute" to the estate by tracking and finding certain funds that will ultimately be available to all claimants. *Connolly*, 802 F.3d at 816-17. Second, substantial contribution claims under § 503(b) can only be awarded "after notice and hearing," creating the first safeguard from frivolous claims under any chapter. 11 U.S.C. 503(b). Third, the creditor must then prove that it does have a valid claim for administrative expense after the court observes its "actual" and "necessary" claim with "scrupulous care," further raising the bar for valid, claims under Chapter 7. *In re Javed*, 592 B.R. 615, 615 (Bankr. D. Md. 2018) (quoting *In re Merry-Go-Round Enterprises, Inc.*, 180 F.3d 149, 157 (4th Cir. 1999). Finally, within its discussion of specific language, the *Connolly* court also noted that the contextual framework Congress provided by expressly stating ". . . in a case under Chapters 9 or 11," served as an example rather than an end-

all-be-all of eligible claims. *Connolly*, 802 F.3d at 816-17. In fact, the court stated that it "makes good sense" for Congress to mention Chapters 9 and 11, and not Chapter 7, because in chapters, creditors a creditor would spend his own time and resources in order to benefit the estate. *Id.* However, in "all but the most atypical Chapter 7 case, the U.S. Trustee fulfills this role." *Id.* See also H.R. Rep. No. 95-595 at 88 (1978), 1978 U.S.C.C.A.N. at 5787 (stating "the primary role of the U.S. Trustee is to 'serve as the bankruptcy watch-dogs to prevent fraud, dishonesty, and overreaching in the bankruptcy arena.'") But, the bankruptcy watch-dog is not fail-proof, and under certain circumstances, a Chapter 7 creditor may need to use his own money and resources, like a Chapter 9 or 11 creditor, in order to protect the estate. *Id.* at 817. If Chapter 7 creditors have to take the same measures as Chapter 9 or 11 creditors to ensure protection over possible assets, then they too should receive reimbursements for the substantial contributions they provide to the estate.

In the instant case, the U.S. Trustee has explicitly acknowledged that Weinberg made a substantial contribution to the estate by voluntarily providing the Trustee with necessary documentation of fraudulent transfers, resulting in a $75,000 benefit for the estate. R. at 7, 20. Similarly, in *in re Javed*, a creditor in a Chapter 7 bankruptcy case filed a motion for the allowance of an administrative expense for a substantial contribution he had made to the estate. *Javed,* 592 B.R. at 615. Importantly, the creditor, like Weinberg, "identified assets and assisted the Chapter 7 Trustee in the performance of his duties for the benefit of all creditors." *Id.* at 616. The bankruptcy court acknowledged that the creditor did indeed provide a meaningful benefit to the estate, and carefully analyzed the creditor's conduct in order to determine the purpose and timing of the conduct, so as not to award reimbursement to a creditor for an unwarranted claim nor to unnecessarily disrupt Congress's priority scheme. *Id.* at 623. Ultimately, the court found

that the creditor's actions were sound, and entitled to a substantial contribution claim. *Id.* The same should also occur in Weinberg's case. Moreover, the Thirteenth Circuit Court of Appeals has already recognized that failing to award Weinberg for his substantial contribution would only deter him, and other similarly situated creditors from participating in Chapter 7 cases. R. at 20; See also *In re Maus Transp., Inc.*, 589 B.R. at 888-89 ("If the particular facts of a case warrant reimbursement, the court should have the ability to fashion a remedy that will foster rather than hinder such actions for the benefit of the estate.").

Additionally, a strict application of § 503(b) would not only limit creditors in Chapter 7 cases, but in Chapter 13 cases also, further divesting the bankruptcy court of its authority while simultaneously deterring creditors from participating in the bankruptcy process. For example, in *In re Sharkey*, attorney/creditors were able to claim a substantial contribution for an administrative expense for their work done to represent the Trustee in a Chapter 7 case before the case was converted to a Chapter 13 case. 2017 WL 5476486 at *1 (E.D. Mich. 2017) Relying on the *Connolly* court, the Michigan bankruptcy court reasoned that whether *Connolly* could be applied to Chapter 13 cases depends on two considerations identified by the *Connolly* court: (1) the totality of the pertinent facts, and (2) the relevant equitable considerations. *Id.* at *8; See also *Connolly*, 802 F.3d at 818 ("reimbursement of administrative expenses properly follows from the totality of the pertinent facts, interpretation of the statutory language and relevant equitable considerations.").

The *Sharkey* court, much like the *Connolly* and *Javed* courts understood the rarity that must surround the appropriate Chapter 13 or Chapter 7 case in order for the case to fall within the confines of application under §503(b)(3)(D). *Id.* ("the propriety of extending *Connolly* to a given case does not depend on whether it is a Chapter 13 case --- but whether it is the *right*

Chapter 13 case.") Factually, the attorney/creditors had successfully objected to exemptions that the debtor had claimed through their representation of the Trustee, and this "were forced by circumstances to take action when no other party was willing or able to do so." *Id.* Thus, the bankruptcy court awarded the attorney/creditors reimbursement under § 503(b), as no other viable remedy existed. *Id.* Like the creditors in *Sharkey*, no remedy exists otherwise for Weinberg. While his claim does not fall squarely within the express language of § 503(b)(3)(D), from an equitable standpoint, he should be reimbursed for the actions he took that ultimately provided a major benefit to the estate.

## CONCLUSION

Weinberg passively retained the snow plows after he lawfully repossessed the trucks. The plain language of Section 362(a)(3) explicitly permits this behavior. The statutory language of 362(a)(3) presupposes that an affirmative "an act" take place before the statute's automatic stay is violated. Therefore, Weinberg did not violate Section 362(a)(3).

Weinberg should receive an award for substantial contribution to an administrative expense under Section 503(b) for Chapter 7 cases. Due to Weinberg's examination, time, and resources, the Trustee was able to recover $75,000 more to benefit the estate. If Weinberg is denied substantial contribution in this case, it would discourage creditors from engaging in the bankruptcy process.

This Court should affirm the Thirteenth Circuit Court of Appeals and hold that Section 362(a)(3) does not prohibit a secured creditor from passively retaining estate property that was lawfully repossessed prepetition and claims for substantial contribution for administrative expenses are permitted in chapter 7 bankruptcy cases under Section 503(b).

Respectfully Submitted,

/s/Team R. 24
Counsel for the Respondent

## APPENDIX A: Selected Sections from Title 11 of the United States Code

### § 102. Rules of Construction

In this title--

**(1)** "after notice and a hearing", or a similar phrase--

**(A)** means after such notice as is appropriate in the particular circumstances, and such opportunity for a hearing as is appropriate in the particular circumstances; but

**(B)** authorizes an act without an actual hearing if such notice is given properly and if--

**(i)** such a hearing is not requested timely by a party in interest; or

**(ii)** there is insufficient time for a hearing to be commenced before such act must be done, and the court authorizes such act;

**(2)** "claim against the debtor" includes claim against property of the debtor;

**(3)** "includes" and "including" are not limiting;

**(4)** "may not" is prohibitive, and not permissive;

**(5)** "or" is not exclusive;

**(6)** "order for relief" means entry of an order for relief;

**(7)** the singular includes the plural;

**(8)** a definition, contained in a section of this title that refers to another section of this title, does not, for the purpose of such reference, affect the meaning of a term used in such other section; and

**(9)** "United States trustee" includes a designee of the United States trustee.

### § 362(a). Automatic Stay

**(a)** Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of--

**(1)** the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;

**(2)** the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;

**(3)** any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

**(4)** any act to create, perfect, or enforce any lien against property of the estate;

**(5)** any act to create, perfect, or enforce against property of the debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;

**(6)** any act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title;

**(7)** the setoff of any debt owing to the debtor that arose before the commencement of the case under this title against any claim against the debtor; and

**(8)** the commencement or continuation of a proceeding before the United States Tax Court concerning a tax liability of a debtor that is a corporation for a taxable period the bankruptcy court may determine or concerning the tax liability of a debtor who is an individual for a taxable period ending before the date of the order for relief under this title.

**§ 503. Allowance of Administrative Expenses**

**(b)** After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including--

**(1)(A)** the actual, necessary costs and expenses of preserving the estate including--

**(i)** wages, salaries, and commissions for services rendered after the commencement of the case; and

**(ii)** wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

**(B)** any tax--

**(i)** incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

**(ii)** attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

**(C)** any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

**(D)** notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

**(2)** compensation and reimbursement awarded under section 330(a) of this title;

**(3)** the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

**(A)** a creditor that files a petition under section 303 of this title;

**(B)** a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

**(C)** a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

**(D)** a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

**(E)** a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or

**(F)** a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

**(4)** reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

**(5)** reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;

**(6)** the fees and mileage payable under chapter 119 of title 28;

**(7)** with respect to a nonresidential real property lease previously assumed under section 365, and subsequently rejected, a sum equal to all monetary obligations due, excluding those arising from or relating to a failure to operate or a penalty provision, for the period of 2 years following the later of the rejection date or the date of actual turnover of the premises, without reduction or setoff for any reason whatsoever except for sums actually received or to be received from an entity other than the debtor, and the claim for remaining sums due for the balance of the term of the lease shall be a claim under section 502(b)(6);

**(8)** the actual, necessary costs and expenses of closing a health care business incurred by a trustee or by a Federal agency (as defined in section 551(1) of title 5) or a department or agency of a State or political subdivision thereof, including any cost or expense incurred--

**(A)** in disposing of patient records in accordance with section 351; or

**(B)** in connection with transferring patients from the health care business that is in the process of being closed to another health care business; and

**(9)** the value of any goods received by the debtor within 20 days before the date of commencement of a case under this title in which the goods have been sold to the debtor in the ordinary course of such debtor's business.

## § 542. Turnover of Property to the Estate

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

**(b)** Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

**(c)** Except as provided in section 362(a)(7) of this title, an entity that has neither actual notice nor actual knowledge of the commencement of the case concerning the debtor may transfer property of the estate, or pay a debt owing to the debtor, in good faith and other than in the manner specified in subsection (d) of this section, to an entity other than the trustee, with the same effect as to the entity making such transfer or payment as if the case under this title concerning the debtor had not been commenced.

**(d)** A life insurance company may transfer property of the estate or property of the debtor to such company in good faith, with the same effect with respect to such company as if the case under this title concerning the debtor had not been commenced, if such transfer is to pay a premium or to carry out a nonforfeiture insurance option, and is required to be made automatically, under a life insurance contract with such company that was entered into before the date of the filing of the petition and that is property of the estate.

**(e)** Subject to any applicable privilege, after notice and a hearing, the court may order an attorney, accountant, or other person that holds recorded information, including books, documents, records, and papers, relating to the debtor's property or financial affairs, to turn over or disclose such recorded information to the trustee.

### § 543. Turnover of Property by a Custodian

**(a)** A custodian with knowledge of the commencement of a case under this title concerning the debtor may not make any disbursement from, or take any action in the administration of, property of the debtor, proceeds, product, offspring, rents, or profits of such property, or property of the estate, in the possession, custody, or control of such custodian, except such action as is necessary to preserve such property.

**(b)** A custodian shall--

- **(1)** deliver to the trustee any property of the debtor held by or transferred to such custodian, or proceeds, product, offspring, rents, or profits of such property, that is in such custodian's possession, custody, or control on the date that such custodian acquires knowledge of the commencement of the case; and
- **(2)** file an accounting of any property of the debtor, or proceeds, product, offspring, rents, or profits of such property, that, at any time, came into the possession, custody, or control of such custodian.

**(c)** The court, after notice and a hearing, shall--

- **(1)** protect all entities to which a custodian has become obligated with respect to such property or proceeds, product, offspring, rents, or profits of such property;
- **(2)** provide for the payment of reasonable compensation for services rendered and costs and expenses incurred by such custodian; and

**(3)** surcharge such custodian, other than an assignee for the benefit of the debtor's creditors that was appointed or took possession more than 120 days before the date of the filing of the petition, for any improper or excessive disbursement, other than a disbursement that has been made in accordance with applicable law or that has been approved, after notice and a hearing, by a court of competent jurisdiction before the commencement of the case under this title.

**(d)** After notice and hearing, the bankruptcy court--

**(1)** may excuse compliance with subsection (a), (b), or (c) of this section if the interests of creditors and, if the debtor is not insolvent, of equity security holders would be better served by permitting a custodian to continue in possession, custody, or control of such property, and

**(2)** shall excuse compliance with subsections (a) and (b)(1) of this section if the custodian is an assignee for the benefit of the debtor's creditors that was appointed or took possession more than 120 days before the date of the filing of the petition, unless compliance with such subsections is necessary to prevent fraud or injustice.